

BEFORE THE
FEDERAL MARITIME COMMISSION

DOCKET NO. 24-23

SAMSUNG ELECTRONICS

AMERICA, INC.,

COMPLAINANT,

v.

HMM CO., LTD. F/K/A HYUNDAI MERCHANT MARINE CO.,
LTD.,

RESPONDENT.

RESPONDENT'S REPLY IN SUPPORT OF ITS
MOTION FOR PARTIAL SUMMARY JUDGMENT

Respondent HMM Co., Ltd. F/K/A Hyundai Merchant Marine Co., Ltd. (hereinafter “HMM” or “Respondent”) files this Reply in support of its Motion for Partial Summary Judgment (“Motion”) against Complainant, Samsung Electronics America, Inc. (“Complainant” or “SEA”).

I. INTRODUCTION

Respondent demonstrated in the Motion that the Commission lacks jurisdiction over shipments that originated in a foreign country and were discharged at ports in Canada (another foreign country), which only then were moved by land to the United States. Such shipments do not meet the jurisdictional Shipping Act requirement that “a United States port is required

somewhere along the route.” *Austasia Intermodal Lines, Ltd. v. FMC*, 580 F.2d 642 (D.C. Cir. 1978).

In response, Complainant has created what can only be described as a smoke screen, in a disingenuous attempt to preserve its claims for shipments that were unquestionably discharged at a foreign port (the “Canada Shipments”), and not at a U.S. port. SEA’s untenable arguments are addressed, and disposed of, below.

II. ARGUMENT

A. As the FMC Lacks Subject Matter Jurisdiction Over the Canada Shipments, Claims Based Upon Those Shipments Must Be Dismissed

i. There Are No Issues of Material Fact Which Support Denial of the Motion

The smoke screen deployed by SEA involves an attempt to confuse an issue of material fact with an issue of law. While the existence of a material issue of fact might warrant denial of a motion for summary judgment, conflicting arguments regarding interpretation of the law can, and should, be resolved by the trial judge.

This is a critical distinction, which SEA seeks to obfuscate, because the Commission must prioritize a determination regarding its jurisdiction: “It is elementary law that a tribunal should determine its jurisdiction before proceeding to the merits of a controversy.”¹

Here, the Presiding Officer can readily do so as the material facts are undisputed: the Canada Shipments which are the subject of HMM’s Motion were loaded at foreign ports. Further, SEA does not dispute that the Canada Shipments were discharged at a foreign port, i.e., Vancouver, Canada. In this regard, Paragraph 5 of HMM’s Statement of Undisputed Material Facts states:

¹ *Intermodal Motor Carriers Conf. v. Ocean Carrier Equipment Management Ass’n, Inc.*, 6 F.M.C.2d 45, 63 (ALJ 2023) (quoting *NPR, Inc. v. Board of Commissioners of the Port of New Orleans*, 28 S.R.R. 1178 (ALJ 1999); see also *River Parishes Co. Inc. v. Ormet Primary Aluminum Corp.*, 28 S.R.R. 751, 762 (FMC 1999) (“As the ALJ correctly held, an agency must reach the jurisdictional issues before addressing the merits of the case”)).

“The list of the Canada Shipments has been attached hereto in its native form as Exhibit B and in a PDF form as Exhibit C.” In response, SEA admitted, albeit reluctantly, as follows:

“Exhibit C appears to reflect the bills of lading and associated container numbers reported as having a port of discharge in Vancouver, Canada, that are the subject of HMM’s motion, which HMM identifies as the “Canada Shipments.”

(SEA’s Responses to HMM’s Statement of Undisputed Material Facts, paragraph 5).

In opposing summary judgment, SEA instead argues that if the vessels that discharged the Canada Shipments at a foreign port went on to call at a U.S. port, that “fact” would give the FMC subject matter jurisdiction over the Canada Shipments. Going on to claim that there are no facts in the record to clarify whether the vessels which discharged the Canada Shipments in Vancouver subsequently called at U.S. ports, SEA has fashioned a “fact issue” which does not exist and which, in any event, has no legal significance.

Assuming *arguendo* that the vessels that discharged the Canada Shipments did go on to call at a U.S. port, that “fact” would not confer subject matter jurisdiction over the Canada Shipments. SEA’s assertion to the contrary is completely unsupported and is contradicted by prevailing law on this issue.

ii. Prevailing Legal Authority Supports Dismissal of Claims Derived From the Canada Shipments

The case law is uniform that the Commission lacks subject matter jurisdiction over shipments moved from the port of a foreign country and discharged at a Canadian port, even if they were ultimately transported inland to the United States:

- *TZ SSE Buyer, LLC v. COSCO Shipping Lines Co., Ltd.*, cited in Respondent’s moving brief, states: ...Respondent is not a “common carrier” as defined in §40102(7) as to the shipments that were discharged in Canadian ports. For such shipments, the vessels did not operate on the high seas or the Great Lakes between a port in the United States and a port in a foreign country. And if Respondent is not a “common carrier” as defined by statute as to the shipments

identified in MPSJ Appendix A, then Respondent cannot be liable under either §§ 41102(c) or 41104(a)(10) – which both require Respondent to be a “common carrier” – as to those shipments. Order Granting Respondent’s Motion for Partial Summary Judgment and Denying Complainant’s Motion for Leave to File a Surreply, FMC Dkt. No. 24-09 (ALJ, June 2, 2025) at 4. Notice Not to Review, July 3, 2025.

- *TZ SSE Buyer, LLC v. Yang Ming Marine Transport Corp.*: “...the Commission lacks jurisdiction related to 381 of the 626 container shipments because the record lacks evidence that the containers were shipped overseas from a foreign port to a port in the United States. Accordingly, the claims related to those 381 container shipments are dismissed.” Further noting: “...there is some evidence in the record that at least some container shipments were routed through Vancouver, Canada (CX_000107; CX_000138). It is appropriate to dismiss a case where a container was shipped to a Canadian port.” Initial Decision, FMC Dkt. No. 24-10 (ALJ, March 24, 2025) at 2 and 16. Notice Not to Review, April 24, 2025.
- *Webtrans Logistics, Inc. v. Hapag-Lloyd (America) LLC*: the ALJ dismissed the Complainant’s claim arising under 41102(c) for lack of subject matter jurisdiction because the definition of “common carrier” under 40102(7) was not satisfied where the container at issue was shipped from a port in Vietnam to a port in Canada. FMC Dkt. No. 2013(F) (ALJ, October 8, 2024). Notice Not to Review, November 8, 2024.

SEA’s attempt to distinguish, indeed to distort, the holding in *Austasia* is unavailing. *Austasia* did not turn on whether the carrier was generally a common carrier or not, but rather whether it was acting as a common carrier for the specific shipments at issue. In this respect, the Commission later explained in the *Foreign-to-Foreign* decisions that the *Austasia* holding, i.e., that the FMC lacks jurisdiction, applies even if the carrier is an ocean common carrier for some purposes and that the FMC continues to lack jurisdiction where the carrier discharges cargo both in Canada and in the United States on the same service. *Foreign-to-Foreign Agreements – Exemption*, 25 S.R.R. 455, 461-62 (FMC 1989). There, the Commission stated:

“The Petitions argue that [*Austasia*] is irrelevant because it . . . (2) involved a carrier that had no U.S. port operations whatsoever; and (3) did not involve ‘mixed commerce’ operations where vessels operating between U.S. and foreign ports also call at Canadian (or Mexican) ports.

The fact that the carrier in [*Austasia*] offered no vessel calls anywhere at U.S. ports was not the basis for the D.C. Circuit's decision. The Court held only that because [the service at issue called no U.S. ports], the carrier was not a Shipping Act 'common carrier' for that service... There is nothing in [that] opinion inferring that the court would have reached a different result if the carrier had had an additional service elsewhere that was subject to FMC jurisdiction. The petitioners' effort to apply such 'if a common carrier somewhere, then a common carrier everywhere' reasoning...disregard[s] the distinction between personal and subject matter jurisdiction. The fact that the Commission lawfully can effect service of process upon a carrier because it has operations subject to the Shipping Act does not warrant a conclusion that all of that carrier's operations indiscriminately fall under the Act. Such an outcome would be contrary to Congress' intent . . . and, again, too easily lends itself to implausible geographic applications.

Id.

Notably, the Commission stated in its original decision that “[The definition of ‘common carrier’] applies only to the extent that the passengers or cargo are loaded or discharged at a U.S. port.” 24 S.R.R. at 1457-58 (quoting from S. Rep. No. 414, 97th Cong., 2d Sess. 26 (1982), brackets in original, emphasis added).

SEA's “issue of fact” artifice does not warrant denial of HMM's Motion because there is no question that the Commission lacks subject matter jurisdiction over the Canada Shipments.

B. HMM's Motion Applies the Proper Analysis Necessary to Dispose of SEA's Claims

The analysis necessary to determine whether HMM was a “common carrier” for cargo carried between foreign ports is straightforward. Moreover, there is no need to wade into a “totality of the circumstances” analysis because HMM was plainly not acting as a common carrier for Shipping Act purposes with respect to the Canada Shipments as SEA argues.

In its two decisions in *Foreign-to-Foreign Agreements*, the FMC held that no FMC jurisdiction applied even if the carrier was an ocean common carrier for other purposes and even

where the carrier discharges cargo both in Canada and in the United States on the same service. 25 S.R.R. at 462-63. Almost as if written in direct response to SEA's Opposition, the Commission stated:

[The efforts in Congress to broaden the term 'common carrier enough to reach common carriers diverting cargo through Canadian ports] failed, and the Senate Commerce Committee repeatedly instructed the Commission that the definition of 'common carrier' should be applied surgically **The case in point twice used by the Committee as a guide to proper interpretation specifically stated that a carrier calling at both U.S. and Canadian ports on the same voyage . . . is not a Shipping Act 'common carrier' with respect to its Canadian port calls. . . .** In addition, the House Merchant Marine and Fisheries Commission said in its report that the phrase 'by water' in the definition was meant to make it clear that 'the transportation referred to is water transportation from the United States to a foreign country. Thus, the definition does not encompass the so-called Canadian diversion situation where cargo is transported by land from the United States to a contiguous foreign country and from there by water to an overseas foreign country. These injunctions from the two Congressional committees directly responsible for the 1984 Act establish that 'mixed commerce' operations . . . may not be brought within the Shipping Act whole, but instead must be segregated between those that involve geographic 'common carriage' and those that do not."

Id. (emphasis supplied).

While the above explanation is more than sufficient to put the issue to rest, the Commission has reiterated the validity of this reading of its jurisdiction on multiple more recent occasions. In its *Study of U.S. Inland Containerized Cargo Moving Through Canadian and Mexican Seaports*, the Commission stated:

In *Austasia Container Express v. F.M.C.*, 580 F.2d 642 (D.C. Cir. 1978), the D.C. Circuit agreed, and held that the FMC's jurisdictional authority did not include cargo originating from or ultimately bound for U.S. inland destinations that was exported or imported through a foreign port.

Other carriers, . . . moved cargo in the same fashion as Austasia . . . Presumably, . . . these carriers were also taking advantage of the jurisdictional gap that allowed them to operate free from FMC regulation. There were Congressional efforts to address this gap . . .

[which proved ultimately to be unsuccessful. . . As such, the FMC’s authority regarding the regulation of U.S.-bound cargo through foreign ports has changed little today. After the *Austasia* cases made clear the FMC lacked jurisdiction, the issue was put to rest.

F.M.C. at 34 (July 2012) (available at <https://www.govinfo.gov/content/pkg/GOVPUB-FMC-PURL-gpo177754/pdf/GOVPUB-FMC-PURL-gpo177754.pdf>) (last visited July 13, 2026). (footnotes omitted).

As discussed *supra*, the issue here has been twice resolved in the past fifteen months without an extensive analysis into the “totality of the circumstances” as SEA suggests is necessary.² Furthermore, as with the claims at issue in the *TZ SSE* proceedings, each of SEA’s claims at issue here³ includes an element that the respondent be a “common carrier.” Thus, to the extent that HMM is not a common carrier with respect to the Canada Shipments, these claims fail for lack of subject matter jurisdiction.

SEA’s concession that the containers were discharged in Canada alone is fatal to its arguments. Opposition at 11. In *TZ SSE v. COSCO*, ALJ Ambrow confirmed same:

There is no question that the containers identified in MPSJ Appendix A were discharged in Canadian ports. (See Undisputed Material Fact, ¶ 4). Applying the definitions in the statute to the undisputed material facts, Respondent is not a “common carrier” as defined in § 40102(7) as to the shipments that were discharged in Canadian ports. For such shipments, the vessels did not operate on the high seas or the Great Lakes between a port in the United States and a port in a foreign country. And if Respondent is not a “common carrier” as defined by statute as to the shipments identified in MPSJ Appendix A, then Respondent cannot be liable under either §§ 41102(c) or 41104(a)(10) – which both require Respondent to be a

² See *TZ SSE Buyer, LLC v. COSCO Shipping Lines Co. Ltd.*, FMC Dkt. No. 24-09, Order Granting Respondent’s Motion for Partial Summary Judgment and Denying Complainant’s Motion for Leave to File a Surreply at 5 (ALJ June 2, 2025, administratively final July 3, 2025) (“Respondent is not a “common carrier” as defined in § 40102(7) as to the shipments that were discharged in Canadian ports.”) and *TZ SSE Buyer, LLC v. Yang Ming Transport Corp.*, FMC Dkt. No. 24-10, Initial Decision at 16-17 (ALJ March 24, 2025, administratively final April 24, 2025) (dismissing claims for lack of jurisdiction where evidence did not show transportation between a foreign port and US port).

³ Despite SEA’s reference to “six counts” and Counts II and III in its Opposition to the Motion (the “Opposition”), and its Verified Amended Complaint for that matter, HMM gently reminds SEA that these claims were dismissed pursuant to the Presiding Officer’s Order dated March 24, 2025.

“common carrier” – as to those shipments. Claims against non-regulated entities are appropriately dismissed.

FMC Dkt. No. 24-09, *supra*, at 5.

The *TZ SSE v. COSCO* holding also makes clear that HMM’s status as a common carrier for some portion of SEA’s claims does not establish that HMM is a common carrier for shipments originating overseas and terminating in Canada. *See* FMC Dkt. No. 24-09, *supra*, at 5. “Further, a respondent can act as a common carrier in some shipments but not in others... So, Respondent can accurately admit that it is a common carrier, but nevertheless not be a common carrier as to all shipments at issue.” *Id.* (citations omitted).

SEA’s efforts to distract from applicable case law on the precise issue here should also fail. For instance, *Earlean Edwards Dukart v. Ocean Star International Inc., D/B/A International Van Lines*, Dkt. No. 20-03,⁴ 2020 WL 3994385, at *7 (ALJ July 10, 2020) is unavailing because it predates the on-point cases and arguments set forth in the Motion. *Earlean* is easily distinguished because it was predicated upon the fact that the carrier never handled the complainant’s shipment, and the proceeding did not involve questions of subject matter jurisdiction. As such, *Earlean* is irrelevant to the question before the Presiding Officer here.

Similarly, SEA’s efforts to point to *Activities, Tariff Filing Practices and Carrier Status of Containerships, Inc.*, 9 F.M.C. 56, 65-66 (FMC 1965) should not overcome analysis conducted (and affirmed by the Commission’s determinations not to review these holdings), in duplicate, in 2025. In *Activities*, the FMC analyzed the 1916 Shipping Act’s common carrier definition and sought to determine whether a common carrier’s transition from offering service pursuant to a tariff to a contract model (without changing its operation) caused the carrier to escape its status as

⁴ HMM notes that the docket referenced by SEA, FMC Dkt. No. 20-30, does not exist. HMM assumes that SEA meant to reference FMC Dkt. No. 20-03.

a common carrier for purposes of the 1916 Shipping Act. *See id.* For obvious reasons, reliance on the decisions in the Commission’s Dockets 24-09 and 24-10 is more appropriate here.

Here, as in the recent FMC precedent, HMM is not a Shipping Act common carrier subject to the FMC’s jurisdiction with respect to the Canada Shipments. SEA’s claims regarding the Canada Shipments therefore fail because HMM does not satisfy the elements of 46 USC §40102(7), which are a necessary predicate to FMC jurisdiction.

C. HMM’s Motion Addresses Claims Appropriate for Summary Judgment Based on the Absence of FMC Jurisdiction

i. The Parties Do Not Dispute the Facts Material to the Commission’s Jurisdiction

The facts presented are sufficient to resolve the question of jurisdiction in the context of shipments moved between foreign ports. Moreover, the absence of jurisdiction is dispositive, and the Presiding Officer need not undertake further analysis as the Opposition argues.

Summary judgment is appropriate where “there is no genuine dispute as to any material fact and the movant is entitled to judgment as a matter of law” *TZ SSE v. COSCO, supra*, at 3. (citations omitted). As ALJ Ambrow stated, “A material fact is one that is capable of affecting the outcome of litigation” and that “the existence of a factual dispute will not in and of itself defeat an otherwise properly supported motion for summary judgment.” *Id.* (citations omitted). Instead, “[w]here the record taken as a whole could not lead a rational trier of fact to find for the nonmoving party, there is no ‘genuine issue for trial.’” *Id.* (citations omitted).

The fact that the Canada Shipments were undisputedly loaded in a foreign port and discharged in a foreign port means that the FMC does not have jurisdiction over this cargo. As in both FMC Dockets, 24-09 and 24-10, SEA cannot overcome what it concedes: the Canada Shipments originated overseas and were discharged at a Canadian port. As such, HMM did not act as a “common carrier” pursuant to 46 USC §40102(7) with respect to these shipments. Because

each of SEA's remaining viable claims requires that HMM be a common carrier, each of these claims fails with respect to the Canada Shipments. No additional discovery is necessary to reach this conclusion.

SEA's arguments to the contrary similarly fail. SEA misreads applicable precedent and creates a jurisdictional straw man by suggesting that, in order to rule on the Motion, it is necessary to determine whether the vessels carrying the subject cargo otherwise called at U.S. ports for unrelated cargo. It is not. The other port calls of each vessel are not relevant to the FMC's jurisdiction over the Canada Shipments. Rather, the facts presented and acknowledged by SEA are sufficient to resolve the question of jurisdiction in the context of shipments moved between foreign ports, and no additional discovery is necessary.

ii. The Question of Jurisdiction Does Not Require the Presiding Officer to Reach Questions of Damages or Liability

SEA's arguments regarding unripe issues, elements of liability, and damages also miss the point. The only issue that needs to be addressed here is whether the FMC has jurisdiction over the Canada Shipments, and the issue can be easily resolved with the analysis of whether HMM is a "common carrier" under the Shipping Act with respect to the Canada Shipments. In fact, Commission precedent and judicial efficiency require that SEA's claims with respect to the Canada Shipments be dismissed for lack of jurisdiction.

Even if SEA was correct that more evidence is necessary here, SEA's arguments with regards to any need for additional discovery are misplaced. HMM has long pressed SEA to define its claim, and SEA has long resisted. This notwithstanding, SEA produced over three million pages of material, including detailed summaries of the data necessary to evaluate SEA's claim

dating back to 2022 that SEA now claims are privileged. *See* Docket Entries 56, 57.⁵ SEA also produced shipment-specific data to support its claim, but SEA now attempts to cast doubt on the legitimacy of its own documents produced in response to discovery requests by suggesting its objections render the data unreliable. *See* Reply at FN5. SEA’s arguments are simply a red herring offered in the hope of delaying the inevitable conclusion that the Canada Shipments are not within the FMC’s jurisdiction.

Despite SEA’s arguments that further development of the record is necessary, the threshold question of jurisdiction is easily resolved here.⁶ Further evidence and analysis are unnecessary with respect to the Canada Shipments, and the claims for same should be dismissed for lack of subject matter jurisdiction.

D. HMM’s Motion Seeks to Prevent Unnecessary and Wasteful Analysis of Claims That Fall Outside the FMC’s Jurisdiction

Invoking the purpose of the Shipping Act, SEA references talking points from the current administration instead of turning directly to the Shipping Act. 46 USC §40101 provides some insight into the purpose of the Shipping Act. It reads, at the very beginning, “The purposes of this part [the Shipping Act] are to – (1) establish a nondiscriminatory regulatory process for *the common carriage of goods by water* in the foreign commerce of the United States *with a minimum of government intervention and regulatory costs...*”⁷

⁵ SEA’s general counsel also recently represented that SEA began compiling data as far back as 2021 and developed analyses sufficient to determine whether litigation was appropriate by June 2022. *See Samsung Electronics America, Inc. v. COSCO Shipping Lines Co., Ltd.* FMC Dkt. No. 24-16, Declaration of Ken Murata at ¶¶5, 6, and 18 (June 12, 2026). Without regard to whether this timeline is accurate, SEA is, by now, well equipped to determine which of its cargo arrived in Canada rather than the US, and its own data proves same.

⁶ SEA also sneaks in a reference to having its right to have a factfinder analyze its claim perhaps because it misunderstands that the Presiding Officer will read the Opposition and make a determination after consideration of same.

⁷ Instead of turning to the Shipping Act, SEA points to an executive order and Maritime Action Plan from 2025 that make no reference whatsoever to the issues in this proceeding. Similarly, SEA then points to commentary from Commissioners Vekich and DiBella regarding the proximity of certain foreign ports and

HMM's Motion seeks to adhere to the stated purpose of the Shipping Act, mindful of judicial resources and the FMC's jurisdiction to regulate the common carriage of goods by water. Far from a jurisdictional loophole, this is what the Shipping Act requires. By moving for dismissal of those SEA claims that do not satisfy the "common carrier" definition under 46 USC §40102(7), HMM seeks to narrow the claims at issue in the proceeding and promote judicial efficiency.

III. CONCLUSION

For the foregoing reasons, the Presiding Officer should grant partial summary judgment in favor of HMM with respect to the Canada Shipments.

Respectfully submitted,

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the possibility of avoidance of the Harbor Maintenance Tax. SEA has lost the plot here, which is the purpose of the Shipping Act.

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CERTIFICATE OF SERVICE

I HEREBY CERTIFY that on this 13th day of July, 2026, the foregoing Reply in Support of HMM's Motion for Partial Summary Judgment was served via electronic mail on:

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